

Tech Mahindra Ltd

Information Technology | IT Services | Large Cap | <https://www.techmahindra.com/>

Company Overview

Tech Mahindra Ltd provides comprehensive range of IT services, including IT enabled service, application development and

Financial Snapshot

Market Cap	■3,021,096 Cr	ROE	8.6%	Revenue CAGR	8.4%
P/E	57.40	ROCE	11.9%	PAT CAGR	-11.0%
P/B	7.43	Net Margin	4.6%	EPS CAGR	-11.4%
EV/EBITDA	7.85	Operating Margin	8.7%	Quality Score	50.00
Dividend Yield	0.6%	Debt / Equity	0.10	Interest Coverage	13.86
Asset Turnover	1.21	EPS	■24.00	Book Value	N/A

Investment Strengths

- Low debt improves financial stability.
- Comfortable interest coverage reduces financial risk.
- Positive free cash flow strengthens future growth.

Investment Risks

- Low ROE reflects weak capital efficiency.
- Weak profit margins reduce profitability.
- Low operating margin signals operational weakness.
- Profit growth has remained weak.
- EPS growth has been limited.

Cash Flow Intelligence

Healthy Cash Flow

Strong operating cash flow while investing for growth and reducing financing obligations.

Cash Rich

Positive operating and overall cash flow indicate healthy liquidity.

Capital Allocation

Latest Pattern: Reinvestor

Pattern History

Year	Pattern
2013	Mixed
2014	Liquidating Assets
2015	Reinvestor
2016	Reinvestor
2017	Reinvestor
2018	Reinvestor
2019	Reinvestor
2020	Liquidating Assets
2021	Reinvestor
2022	Liquidating Assets
2023	Reinvestor
2024	Reinvestor

Pattern Change Summary

Changed	Yes
From	Mixed
To	Reinvestor